REGULATORY AGREEMENT

Mill Street Lofts · 315 Mill Street, Lantern Bay

EXCERPT. Sections 1 through 3, 8 and 9 and the exhibits are omitted from this copy.

This Regulatory Agreement (this "Agreement") is made as of June 14, 2011, between the City of Lantern Bay (the "City") and Mill Street Housing Associates LP (the "Owner").

RECITALS

A. The Owner owns a 60-home rental project at 315 Mill Street (the "Project").

B. By Resolution No. 2011-18, the City approved a 15-year partial property tax exemption for the Project.

C. The exemption is granted in exchange for the affordability terms in this Agreement.

SECTION 4. AFFORDABILITY

4.1 The Owner shall reserve 9 of the 60 homes in the Project as Affordable Homes.

4.2 Each Affordable Home shall be leased to a household with income at or below 50 percent of Area Median Income.

4.3 Monthly rent for each Affordable Home shall not exceed 30 percent of 50 percent of Area Median Income, adjusted for household size.

SECTION 5. TERM

5.1 The Affordability Period begins on January 1, 2012 and ends on December 31, 2026.

5.2 Sections 4 and 7 end at the close of the Affordability Period. Section 10 survives for defaults that occur before that date.

SECTION 6. RESPONSIBLE PARTY

6.1 The Owner is responsible for compliance with this Agreement, and this Agreement binds every later owner of the Project.

SECTION 7. REPORTING

7.1 The Owner shall deliver an annual compliance certificate to the City by March 31 of each year.

7.2 The certificate shall report counts for the prior calendar year and shall not include household names.

SECTION 10. DEFAULT AND REMEDIES

10.1 If a default is not cured within 30 days after written notice from the City, the Owner shall repay the property taxes exempted during the period of default.

10.2 The City may also seek specific performance of this Agreement.

SIGNATURES

The parties have signed this Agreement as of the date first written above.

CITY OF LANTERN BAY
[signature on file]
City Manager
Date: June 14, 2011

MILL STREET HOUSING ASSOCIATES LP
By its general partner
[signature on file]
Authorized Officer
Date: June 14, 2011

Recorded with the Bayside County Recorder on June 21, 2011, as Document No. 2011-0042519.